

IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION
(SPECIAL ORIGINAL JURISDICTION)

Writ Petition No. 5661 of 2022

IN THE MATTER OF:

An application under Article 102 of the
Constitution of the People's Republic of
Bangladesh.

AND

IN THE MATTER OF:

Fuad Yusuf

....Petitioner

Versus

Government of the People's Republic of
Bangladesh, represented by the Secretary,
Ministry of Law, justice and Parliamentary
Affairs, Bangladesh Secretariat, Ramna,
Dhaka and others

....Respondents

Mr. A.J. Mohammad Ali, Senior Advocate with
Mr. Md. Shakhawat Hossain, Advocate

....For the Petitioner

Mr. Moloy Kumar Roy, Advocate

....For the Respondent No. 3

Present:

Mr. Justice Md. Iqbal Kabir

And

Mr. Justice S.M. Maniruzzaman

Judgment on 29.11.2023.

Md. Iqbal Kabir, J:

At the instance of the petitioner this Rule Nisi was issued in the following terms:

"Let a Rule Nisi be issued calling upon the respondents to show cause as to why the order dated 01.12.2021 passed by the learned Judge, Artha Rin Adalat No. 2, Dhaka in the Artha Jari Case No. 318 of 2021 arising out of Artha Rin Case No. 588 of 2018 sentencing the petitioner in civil custody for a period of 6(six) months and as to why the order dated 25.04.2022 passed by the learned Judge, Artha Rin Adalat No. 2, Dhaka in the Artha Jari Case No. 318 of 2021 arising out of Artha Rin Case No. 588 of 2018 rejecting the application of the petitioner for depositing 25% money against his share in the company should not be declared to have been passed without lawful authority and is of no legal

effect and/or pass such other or further order or orders as to this Court may seem fit and proper."

At the time of issuance of the Rule Nisi, this Court also passed an ad-interim bail in the following manner:

"Pending hearing of the Rule, let the convict-petitioner Fuad Yusuf, son of late Yusuf Ali Chowdhury (Mohon Mia) be enlarged on ad-interim bail subject to satisfaction of the Judge, Artha Rin Adalat No. 2, Dhaka for a period of 6(six) months from date."

Short facts stated in this application are that respondent No. 3, Union Capital Limited in order to recover the loan filed Artha Rin Case being No. 588 of 2018 against the petitioner, and the suit was decreed exparte. Thereafter, Artha Jari Case No. 318 of 2021 has been initiated by the respondent wherein this petitioner filed an application under Section 34(1) of the Artha Rin Adalat Ain, 2003 for warrant of arrest against the judgment debtor. The Court below passed an order for civil imprisonment against the petitioner only for a period of six months and issued a warrant of arrest against the petitioner. The petitioner made a representation to respondent No. 3 for the final settlement of the outstanding liabilities which was not considered by respondent No. 3. The petitioner's claimed total number of shares of the company is 2,94,700.00 and the petitioner is the owner of 71,441.00 number of shares out of 2,94,700.00 which are 24.93% of the total shares. That being the position, the petitioner asserted that the liabilities shall be deemed to be found according to the law and Rules. He claims liabilities of the petitioner severally with regards to 24.93% of shares of the said decretal amount of Tk. 8,61,09,002/- that is the amount of liabilities of the petitioner is Tk. 2,14,66,974.29/-. Therefore, the petitioner following section 34(3), 34(6) filed an application before the Court below with a prayer to deposit 25% against the proportionate shares belonging to the company for obtained bail, that application was rejected. Against which the petitioner brought this application before this Court and obtained the instant Rule Nisi and order of bail.

Mr. A.J. Mohammad Ali, the learned Senior Advocate with Mr. Md. Shakhawat Hossain, the learned Advocate appearing on behalf of the petitioner while Mr. Moloy Kumar Roy, Advocate for respondent No. 3 by filing an affidavit-in-opposition opposes the Rule.

It is noted that in the midst of the hearing, this Court based on the prayer of the petitioner allowed time as this petitioner expressed his intention to pay the loan amount. However, at one stage petitioner deposited Tk. 53,00,000/- which was acknowledged by the respondent bank. However, it appears several times it was adjourned as they were trying to settle the matter amicably, there was an offer and counteroffer, but they did not reach to settle the issue. Today learned Advocate for the petitioner informed this Court that the offer made by the petitioner was not accepted by the Bank.

However upon placing the petition Mr. A.J. Mohammad Ali, the learned Senior Advocate submits that the Court below violated the mandatory provision of law as stipulated under section 34(3) read with section 34(6) rejected the application of the petitioner. According to him liabilities of the petitioner severally with regards to 24.93% of shares of the said decretal amount of Tk. 8,61,09,002/- that is the amount of liabilities of the petitioner is Tk. 2,14,66,974.29/-. In light, such petitioner made a prayer to deposit 25% against the proportionate shares belonging to the company for obtained bail. Therefore, the impugned order dated 25.04.2022 is liable to be declared to have been passed without lawful authority and is of no legal effect.

Mr. Moloy Kumar Roy, learned Advocate for respondent No. 3 by filing an affidavit-in-opposition submits that the statement made in paragraph Nos. 17 and 18 so far as it relates to the liabilities of the petitioner out of the total decretal amount is of Tk. 8,61,09,002.37/- are not correct. According to him all of them are jointly and severally liable which means the Directors, as well as the guarantor of the borrower company, are jointly and severally liable. Thus, guarantor cannot wish to escape from the loan liability of the decretal amount and/or claim amount of the decree-holder bank, in that case, said guarantor / Director / Mortgagor has to pay the full decretal amount along with up-to-date interest. He argued the submissions made by the petitioner were not tenable in the eye of the law.

He submits in this case section 6(5) of the Artha Rin Adalat Ain, 2003 clearly states including others guarantor /Director/Mortgagor is and or responsible or liable to repay the loan amount or recover the said amount from the principal judgment debtor-borrower which has been categorically explained. For our better understanding section 6(5) of the Artha Rin Adalat Ain, 2003 is reproducing herein below:

"...

৬(৫) আর্থিক প্রতিষ্ঠান মূল ঋণগ্রহীতার (Principal-debtor) বিরুদ্ধে মামলা দায়ের করার সময়, তৃতীয় পক্ষ বন্ধকদাতা (Third party mortgagor) বা তৃতীয় পক্ষ গ্যারান্টর (Third party guarantor) ঋণের সহিত সংশ্লিষ্ট থাকিলে, উহাদিগকে বিবাদী পক্ষ করিবে; এবং আদালত কর্তৃক প্রদত্ত রায়, আদেশ বা ডিক্রী সকল বিবাদীর বিরুদ্ধে যৌথভাবে ও পৃথক পৃথক ভাবে (Jointly and severally) কার্যকর হইবে এবং ডিক্রী জারীর মামলা সকল বিবাদী-দায়িকের বিরুদ্ধে একই সাথে পরিচালিত হইবে;

তবে শর্ত থাকে যে, ডিক্রী জারীর মাধ্যমে দাবী আদায় হওয়ার ক্ষেত্রে আদালত প্রথমে মূল ঋণগ্রহীতা-বিবাদীর এবং অতঃপর যথাক্রমে তৃতীয় পক্ষ বন্ধকদাতা (Third party mortgagor) ও তৃতীয় পক্ষ গ্যারান্টর (Third party guarantor) এর সম্পত্তি যতদূর সম্ভব আকৃষ্ট করিবে;

আরো শর্ত থাকে যে, বাদীর অনুকূলে প্রদত্ত ডিক্রীর দাবী তৃতীয় পক্ষ বন্ধকদাতা (Third party mortgagor) অথবা তৃতীয় পক্ষ গ্যারান্টর (Third party guarantor) পরিশোধ করিয়া থাকিলে উক্ত ডিক্রী যথাক্রমে তাহাদের অনুকূলে স্থানান্তরিত হইবে এবং তাহারা মূল ঋণগ্রহীতার (Principal-debtor) বিরুদ্ধে উহা প্রয়োগ বা জারী করিতে পারিবেন।"

Upon plain reading of the above section it is clear to us that the law of this land did not allow to repay the loan amount based on percentage, under the law petitioner is responsible for paying jointly and or severally, he cannot get escape from such liabilities, he has to pay such amount.

Furthermore, in the case of Rupali Bank Limited vs. Mahmuda Jaman, reported in XX ADC (2023)-203 clearly observed:

"On a plain reading of Section 34(1) of Artha Rin Adalat Ain, 2003 (hereafter Ain, 2003) it is palpable that Artha Rin Adalat is empowered to confine the judgment debtor/s in civil prison for a period of 6(six) months to compel them to pay the decretal amount. According to Section 34(3) of Ain, 2003, if the borrower is a company, the natural person consisting of whom the said company is deemed to have been formed, shall, severally and jointly be liable to confinement in civil prison. Admittedly, respondent No. 1 in all Civil Petitions for Leave to Appeal, is the shareholder, director, chairman, mortgagor, and guarantor of the loan, and respondents No. 2, 3, and 4 in Civil Petitions for Leave to Appeal No. 2884 of 2022 are the mortgagors and guarantors of the loan and the concerned Artha Rin Adalat on conclusion of trail in respective Artha Rin Adalat Cases, decreed all the cases. Thereafter, Artha Rin Execution Cases were filed against respondent No. 1 in all Civil Petitions for Leave to Appeal and respondents No. 2, 3, and 4 in Civil Petitions for Leave to Appeal No. 2884 of 2022 and after issuing a warrant of arrest were arrested and was

ordered to be confined in civil prison for a period of 6(six) months as per Section 34(5) of the Ain, 2003. Again, under Section 34(5) of the Ain, 2003 the writ-petitioners are not entitled to be released on bail unless they deposit 25% of the total decretal amount and also execute a bond to the effect that they will pay the rest of the decretal amount within next 90(ninety) day."

At this juncture, it appears, in the present case in hand that during the pendency of the writ petition, the petitioner deposited Tk. 53,00,000/- i.e., 25% against the decretal amount of his proportionate shares belonging to the company. However, under the law, he has to deposit 25% of the total decretal amount to get bail, deposited amount i.e., Tk. 53,00,000/- is not 25% of the total decretal amount. Therefore, in the prevailing circumstances, he cannot get bail and entitled to enjoy such privilege. The petitioner has to deposit 25% of the total decretal amount and also execute a bond to the effect that he will pay the rest of the decretal amount within 90 days. Admittedly, in this case, the petitioner did not deposit such an amount.

In light of the above, we are of the view submissions made by the learned Advocate for the petitioner has no substance and merits in the Rule.

Accordingly, the Rule is discharged.

However, this Court allowing 1(one) month time to the petitioner to settle the issue amicably, if the parties fails to settle the issue within such time, the petitioner is directed to surrender before the Court below and the bank has the liberty to take appropriate initiative in accordance with law.

The interim order granted at the time of issuance of the Rule is hereby recalled and vacated.

There will be no order as to costs.

Communicate the order.

S.M. Maniruzzaman, J:
I agree.